RAZ SPACE RENTAL

Km. 4, Barangay Luna, Surigao City, Surigao del Norte, Philippines

AUDITED FINANCIAL STATEMENTS

For the Years Ended December 31, 2025 and 2024

STATEMENT OF MANAGEMENT'S RESPONSIBILITY
FOR ANNUAL INCOME TAX RETURN

The Management of Raz Space Rental is responsible for all information and representations contained in the Annual Income Tax Return for the year ended December 31, 2025. Management is likewise responsible for all information and representations contained in the financial statements accompanying the Annual Income Tax Return covering the same reporting period. Furthermore, the Management is responsible for all information and representations contained in all the other tax returns filed for the reporting period, including, but not limited, to the value added tax and/or percentage tax returns, withholding tax returns, documentary stamp tax returns, and any and all other tax returns.

In this regard, the Management affirms that the attached audited financial statements for the year ended December 31, 2025 and the accompanying Annual Income Tax Return are in accordance with the books and records of Raz Space Rental complete and correct in all material respects. Management likewise affirms that:

(a) The Annual Income Tax Returns has been prepared in accordance with the provisions of the National Internal Revenue Code, as amended, and pertinent tax regulations and other issuances of the Department of Finance and the Bureau of Internal Revenue;

(b) Any disparity of figures in the submitted reports arising from the preparation of financial statements pursuant to financial accounting standards and the preparation of the income tax return pursuant to tax accounting rules has been reported as reconciling items and maintained in the company's books and records in accordance with the requirements of Revenue Regulations No. 8-2007 and other relevant issuances;

(c) Raz Space Rental has filed all applicable tax returns, reports and statements required to be filed under Philippine Tax Laws for the reporting period, and all taxes and other impositions shown thereon to be due and payable have been paid for the reporting period, except those contested in good faith.

Signature: _____

RONALDO C. RAZ

TEODOCIO BECERRO TUOZO
Certified Public Accountant
OFFICE: 1096 Capitol Road, Surigao City
EMAIL ADDRESS: teddytuozo@yahoo.com

REPORT OF AN INDEPENDENT AUDITOR

Ronaldo C. Raz
Proprietor
Raz Space Rental
Km. 4, Brgy. Luna, Surigao City
Surigao del Norte, Philippines

Opinion

I have audited the financial statements of Raz Space Rental, which comprise the statements of financial position as at December 31, 2025 and 2024, and the statements of comprehensive income, statements of changes in equity and statements of cash flows for each of the two years ended December 31, 2025, and notes to the financial statements, including a summary of significant accounting policies.

In my opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Raz Space Rental as at December 31, 2025 and 2024, and its financial performance and cash flows of the two years ended December 31, 2025 in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis for Opinion

I conducted my audit in accordance with Philippine Standards in Auditing (PSAs). My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of my report. I am independent of the firm in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to my audit of the financial statements in the Philippines, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the Code of Ethics. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation for financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Raz Space Rental's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Raz Space Rental or to cease operations, or has no realistic alternative but to do so.

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Those charged with governance are responsible for overseeing Raz Space Rental's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

My objective is to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Raz Space Rental's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Raz Space Rental's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusion is based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Raz Space Rental to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Raz Space Rental to express an opinion on the financial statements. I am responsible for the direction, supervision and performance of the audit. I remain solely responsible for the audit opinion.

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Certified Public Accountant
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I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

TEODOCIO BECERRO TUOZO
CPA Cert No. 0076460, May 18, 2027
TIN 117-683-668
PTR No. 1349479, January 18, 2026, Surigao City
BOA Accreditation No. 4809, May 31, 2027
CDA Accreditation No. 0597, March 25, 2026
BIR Accreditation No. RR17-000000-07-2025, February 17, 2028

March 25, 2026
Surigao City, Philippines

RAZ SPACE RENTAL
Km. 4, Brgy. Luna, Surigao City, Surigao del Norte, Philippines

Statements of Financial Position
As of December 31, 2025 and 2024
(Amounts in Philippine Peso)

	Notes	2025	2024
ASSETS			
CURRENT ASSETS			
Cash	4	933,755	983,645
NONCURRENT ASSETS			
Property and Equipment	5	6,700,000	6,950,000
TOTAL ASSETS		7,633,755	7,933,645
LIABILITIES AND EQUITY			
LIABILITIES			
EQUITY			
Ronaldo C. Raz Capital, December 31		7,633,755	7,933,645
TOTAL LIABILITIES AND EQUITY		7,633,755	7,933,645

(See Accompanying Notes to Financial Statements)

RAZ SPACE RENTAL

Km. 4, Brgy. Luna, Surigao City, Surigao del Norte, Philippines

Statements of Comprehensive Income
For the Years Ended December 31, 2024 and 2023
(Amounts in Philippine Peso)

	Notes	2025	2024
RECEIPTS		2,123,967	2,474,800
COST OF SERVICE	6	947,489	1,412,645
GROSS MARGIN		1,176,478	1,062,155
OPERATING EXPENSES	7	476,368	283,150
NET INCOME		700,110	779,005

(See Accompanying Notes to Financial Statements)

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Statements of Changes in Equity

For the Years Ended December 31, 2024 and 2023

(Amounts in Philippine Peso)

	2025	2024
Beginning Capital	7,933,645	8,154,640
Net Income	700,110	779,005
Personal Drawings	(1,000,000)	(1,000,000)
RONALDO C. RAZ CAPITAL, DECEMBER 31	7,633,755	7,933,645

(See Accompanying Notes to Financial Statements)

RAZ SPACE RENTAL

Km. 4, Brgy. Luna, Surigao City, Surigao del Norte, Philippines

Statements of Cash Flows

For the Years Ended December 31, 2024 and 2023

(Amounts in Philippine Peso)

	Notes	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Net Income		700,110	779,005
Adjustments to reconcile net surplus to provided by operating activities:			
Depreciation		250,000	250,000
Net cash provided by (used in) operating activities		950,110	1,029,005
CASH FLOWS FROM INVESTING ACTIVITIES			
Net cash provided by (used in) investing activities		-	-
CASH FLOWS FROM FINANCING ACTIVITIES			
Personal Drawings		(1,000,000)	(1,000,000)
Net cash provided by (used in) financing activities		(1,000,000)	(1,000,000)
NET INCREASE IN CASH		(49,890)	29,005
ADD: CASH, JANUARY 1		983,645	954,640
CASH, DECEMBER 31		933,755	983,645

(See Accompanying Notes to Financial Statements)

RAZ SPACE RENTAL

Notes to the Financial Statements
For the Years Ended December 31, 2025 and 2024

1. GENERAL INFORMATION

Raz Space Rental a domestic proprietorship engaged in space lease. It is owned and managed by Ronaldo C. Raz.

The business registered office which is also its principal place of business is at Km. 4, Brgy. Luna, Surigao City, Surigao del Norte, Philippines.

The financial statements for the year ended December 31, 2025 were approved and authorized for issue by the proprietor on March 25, 2026.

2. BASIS OF PREPARATION

Statement of Compliance
The financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) for Small and Medium-sized Entities issued by Philippine Financial Reporting Standards Council.

Basis of Measurement
The financial statements have been prepared on historical cost basis.

Functional and Presentation Currency
The financial statements are presented in Philippines peso, which is the Company's functional currency.

Use of Judgements and Estimates
The preparation of the financial statements in Philippine Financial Reporting Standards for SMEs requires the management of the business to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Future events may occur which will cause the assumption used in arriving at the estimates to change. The effects of changes in estimates will be reflected in the financial statements as they become reasonably determinable.

3. SIGNIFICANT ACCOUNTING POLICIES

Revenue Recognition
Revenue is recognized to the extent that it is probable that economic benefits will flow to the Company and revenue can be reliably measured. Revenue is measured at the fair value of the consideration received, excluding discounts, rebates, and other sales taxes or duty.

Cash and Cash Equivalents
Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original

maturities of three months or less and are subject to insignificant risk of changes in value.

Receivables
Most sales are made on the basis of normal credit terms, and the receivables do not bear interest. Where credit is extended beyond normal credit terms, receivables are measured at amortized cost using the effective interest method.

At the end of each reporting period, the carrying amounts of trade and other receivables are reviewed to determine whether there is any objective evidence that the amounts are not recoverable. If so, an impairment loss is recognized immediately in profit or loss.

Inventories
Inventories are stated at the lower of cost and selling price less cost to complete and sell. Cost is calculated using first-in, first-out (FIFO) method.

Property, Plant and Equipment
Items of property, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is charged so as to allocate the cost of assets less their residual values over their estimated useful lives, using straight-line method. If there is an indication that there has been a significant change in depreciation rate, useful life or residual value of an asset, the depreciation of that asset is revised prospectively to reflect the new expectations.

Impairment of Assets
At each reporting date, property, plant and equipment, and intangible assets are reviewed to determine whether there is any indication that those assets have suffered an impairment loss.

If there is an indication of possible impairment, the recoverable amount of any affected asset (or group of related assets) is estimated and compared with its carrying amount is reduced to its estimated recoverable amount is lower, the carrying amount is reduced to its estimated recoverable amount, and an impairment loss is recognized immediately in profit or loss.

Trade Payables
Trade payables are obligations on the basis of normal credit terms and do not bear interest. Trade payables denominated in a foreign currency are translated into Philippine Peso (PhP) using the exchange rate at the reporting date. Foreign exchange gains or losses are included in other income or other expenses.

Borrowing cost
All borrowing costs are recognized in profit or loss in the period in which they are incurred.

Income Taxes
Income tax expense represents the sum of the tax currently payable and deferred tax. The tax currently payable is based on taxable profit for the year. Deferred tax is recognized on differences between the carrying amounts of assets and liabilities in the financial statements and their corresponding tax bases (known as temporary differences).

Deferred tax liabilities are recognized for all temporary differences that are recognized for all temporary differences that are expected to reduce taxable profit in the future, and any unused tax losses or unused tax credits.

Deferred tax assets are measured at the highest amount that, on the basis of current or estimated future taxable profit, is more likely than not to be recovered. The net carrying amount of deferred tax assets is reviewed at each reporting date and is adjusted to reflect the current assessment of future taxable profits. Any adjustments are recognized is profit or loss.

Deferred tax is calculated at the tax rates that are expected to apply to the taxable profit (tax loss) of the periods in which it expects the deferred tax assets to be realized or then deferred tax liability to be settled, on the basis of tax rates that have been enacted or substantively enacted by the end of the reporting period.

4. CASH

The account consists of:

Description	*Notes*	2025	2024
Cash on hand and in bank		933,755.00	954,640.00
		933,755.00	954,640.00

5. PROPERTY AND EQUIPMENT

The account consists of:

Description	*Notes*	2025	2024
Building		7,000,000.00	7,000,000.00
Furniture and Fixtures		105,000.00	105,000.00
Office Equipment		175,000.00	175,000.00
Service Vehicle		500,000.00	500,000.00
Total Cost of Property and Equipment		7,780,000.00	7,780,000.00
Less: Accumulated Depreciation		1,080,000.00	830,000.00
Net, Property and Equipment		6,700,000.00	6,950,000.00

6. COST OF SERVICE

The account consists of:

Description	*Notes*	2025	2024
Labor		308,749.00	742,440.00
Materials and Supplies		638,740.00	670,205.00
		947,489.00	1,412,645.00

7. OPERATING EXPENSES

The account consists of:

Description	*Notes*	2025	2024
Taxes and Licenses		94,593.00	25,100.00
Depreciation		250,000.00	250,000.00
Communication, Light and Water		81,675.00	
Insurance		38,100.00	
Miscellaneous		12,000.00	8,000.00
Total Operating Expenses		476,368.00	283,100.00